

Amazon.com, Inc.

AMZN NASDAQ

Buy

\$250.25 ▲ 0.35%

12M Price Target
\$305.00

52-Week Range
\$196.00 – \$287.20

Market Cap
\$2.70T

AMZN: AI Capex Debate Heats Up, Amazon Doubling Down

WHAT HAPPENED

- Stock is basically flat (\$250.25, +0.35%) but the tape tells a story — AMZN pulled back from \$258 earlier in the week as Goldman published a "cold, hard reality check" on AI stocks. The market is starting to question whether the hundreds of billions being spent on AI chips and data centers will actually generate returns, and Amazon is the biggest spender in the room.
- Counter-narrative also showed up today: a 24/7 Wall St piece basically arguing "Amazon wouldn't be spending \$100B+ on AI capex if they thought it would fail." That tug-of-war between AI skeptics and believers is exactly what's keeping AMZN pinned in the \$249-\$258 range.

WHY IT MATTERS

The options flow is screaming bullish — a 0.38 put/call ratio (meaning traders are buying almost 3 calls for every put) with unusual call activity at \$240-250 strikes tells me smart money is positioning for a bounce, not a breakdown. That matters because it suggests the Goldman AI-skepticism piece is being faded, not embraced. The bigger picture: Amazon is uniquely positioned versus Microsoft and Google because AWS is a profit-printing machine that can *fund* the AI buildout without denting free cash flow the way pure-play AI names would — so if the market rotates from "AI hype" to "AI profitability," AMZN actually wins that rotation. Watch for AWS growth reacceleration in Q3 earnings (late October) as the real catalyst — anything above 18% and this stock breaks \$270.

POLICY & POLITICAL WATCH

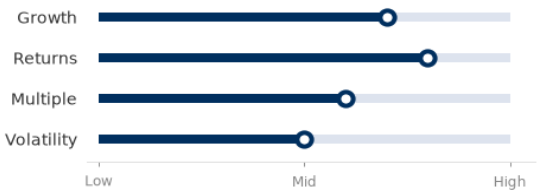
Two things to watch in DC right now: (1) The FTC antitrust case against Amazon is still grinding through court — a favorable ruling or settlement would remove a massive overhang, while forced structural remedies (splitting AWS from retail) would be catastrophic. (2) The Trump administration's tariff regime continues to be a headwind — Amazon's third-party sellers source heavily from China, and any escalation raises costs across the retail marketplace, though Amazon has more pricing power than most to pass it through. Also worth tracking: bipartisan noise about a federal AI infrastructure package that could subsidize data center buildouts — if that gains traction, AMZN's capex spending gets partially de-risked, which is a direct positive.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$250.25
12M Price Target	\$305.00
Upside / (Downside)	+21.9%
Market Cap	\$2.70T
FY2026E Revenue	\$745M
FY2027E Revenue	\$830M
FY2026E EPS	\$6.85
FY2027E EPS	\$8.20
Fwd P/E	36.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$270.00	\$255.00	\$235.00
6 Months	\$295.00	\$270.00	\$225.00
1 Year	\$325.00	\$305.00	\$215.00
2 Years	\$380.00	\$340.00	\$220.00
5 Years	\$500.00	\$420.00	\$240.00
10 Years	\$750.00	\$550.00	\$280.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+1.10% today, +3.95% on the week) is leading — money is flowing back into large-cap tech despite the AI-skepticism headlines, which tells you the "AI is dead" narrative isn't sticking. Industrials also strong on infrastructure spending momentum.

COOLING OFF: Financials weak on the week (-1.55%), consistent with softening rate expectations and credit concerns. Consumer Staples also lagging, suggesting investors aren't in "defense" mode.

ROTATION WATCH: Money is rotating INTO tech and industrials, OUT of defensives and financials — that's a risk-on setup that historically favors AMZN's dual exposure to cloud (tech) and logistics (industrial).

RELATED PLAY: If AMZN's AI capex thesis holds, the data center supply chain benefits directly — think Vertiv (VRT), Eaton (ETN), and Constellation Energy (CEG) as power supplier plays.

WHO'S WINNING IN THIS SPACE?

- AKAM (Akamai): Just landed an \$11.6B Anthropic deal — cloud/edge names with concrete AI customer wins are getting rewarded today, which validates the "AI monetization is real" narrative.
- Broader tech ETF up 1.1% today — semiconductors and hyperscalers all bid.

AMZN CONTEXT: AMZN is LAGGING the tech sector today (+0.35% vs +1.10% for XLK) — that's the AI capex skepticism weighing specifically on the biggest spenders. If Amazon starts closing that gap in coming days, it signals the market has moved past the Goldman piece and is ready to buy the dip.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 4-6% of portfolio (core mega-cap holding)

Entry Points: \$240-248 on tech pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: AWS growth decelerates below 15% or FTC breakup remedies survive appeal

Hedging: Long-dated puts or pair against an over-hyped pure-play AI name